

BOARD MEETING OF THE CBA

MINUTES

(25.09.2018)

On the Refinancing Rate

The CBA Board Meeting of September 25, 2018 attended by Chairman Arthur Javadyan, Deputy Chairmen Nerses Yeritsyan and Vakhtang Abrahamyan, and Board Members Ashot Mkrtchyan, Arthur Stepanyan and Armenak Darbinyan

The Board meeting opened with presentation of the Situation Report as of September 25, 2018. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

It was recorded that the 12-month inflation continued increasing in August of 2018, reaching 3.3% at the end of the month. The 0.6% inflation registered during the month was totally due to the changes in food product prices, mainly expressed by price increases in commodity groups “Fruits”, “Vegetables” and “Meat products” by 3.3%, 6.5% and 2.4% respectively (combined contribution to inflation: 0.7 pp). In August, core inflation declined to some extent, staying around the inflation target.

Addressing the economic environment, the Board summed up the actual results of the second quarter of 2018, according to which the economic growth has exceeded the Central Bank estimation, as it reached 7.2%, mostly owing to high growth registered in all sectors. The January-August economic activity indicator amounted to 7.7%, which was again determined by sustained high activity in all sectors of the economy. An exception was the agricultural sector, with its reported decline in August due to earlier harvest seasonality. Private investments which persisted at a relatively high level greatly contributed to the growth of domestic demand in the third quarter, whereas private consumption growth rates continue slowing down, incurring the impact of a contractionary fiscal policy.

The external sector developments were also addressed at the Board meeting: they suggest that the impact of current deviations on inflation is estimated to be weak as actual developments in commodity and food product markets have been less inflationary than expected. In the meanwhile, the direction of the monetary policy implemented in the main partner countries was generally in line with the forecast, except for Russia, where the Bank of Russia has tightened the monetary conditions in view of anticipated accelerating of inflation.

The Board referred to the developments in the domestic financial market: it stated that interbank interest rate has been around the policy rate of the Central Bank and the foreign exchange market performed steadily.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making a decision on the interest rate. Considering that the actual macro-environment did not essentially deviate from the baseline scenario of the MP program published in August, the Board of the Central Bank finds it appropriate to keep the monetary policy expansionary by leaving the refinancing rate unchanged. In the event predicted macroeconomic developments unfold, the Board believes that expansionary monetary policy will be maintained in fulfillment of the inflation target, while making sure it will gradually phase out later. As a result, the expectation is that **the inflation will fluctuate somewhat below the target value but stabilize around the 4% target in the forecast horizon.**

In the context of decision making, the Board also referred to additional inflation risks, which are now dual-sided. The downside risks are related to the pace of fiscal policy, a slightly lower growth in export and remittances, and the upside risks derive from the volatility of financial markets in the world and principal partner countries. In the event these risks materialize, the Central Bank will adjust the monetary policy direction accordingly, while ensuring the price stability.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

Deciding on the Interest Rate

CODE

050.0160 A. 25.09.18

September 25, 2018

No. 160 A

Interest Rates of Operations by the Central Bank of the Republic of Armenia in the Financial Market

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, at 6.0%.
2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:
 - 2.1 Lombard facility rate offered by the Central Bank to be 7.5%.
 - 2.2. Deposit facility rate offered by the Central Bank to be 4.5%.
3. This decision shall take force on the day following the adoption thereof.

Arthur Javadyan,

Chairman of the Central Bank

September 25, 2018

c. Yerevan

PRESS RELEASE
25.09.2018

At the September 25, 2018 meeting, the Board of the Central Bank of Armenia (CBA) decided to leave the refinancing rate unchanged, at the level of 6.0%.

There was 0.6% inflation in August of 2018 compared to 0.4% deflation registered in the same month of the previous year, and the 12-month inflation rate increased, amounting to 3.3% at the end of the month. The Board of the CBA states that both the headline and core inflations were within the CBA's predictions and estimates that in the upcoming months the 12-month inflation will still be running at a slightly lower level from the target.

In the external sector, global economic growth trends continued in line with expectations, with weaker inflationary patterns observable in international markets of basic commodities. At the same time, the Board of the CBA considers that despite a gradual tightening of financing conditions in global capital markets, its impact on the volatility of financial markets in the developing countries has somewhat weakened.

The Board notes that higher-than-expected economic growth (8.3%) has been reported according to the first half 2018 results, and in January-August, compared to the same period of the previous year, the economic activity indicator has reached 7.7%, largely owing to high growth in services. At the same time, the estimation is that the impact of the fiscal policy implementation (which remained contractionary over the third quarter) on aggregate demand is being partially offset by persisting investment activity in the private sector.

Taking into account the aforementioned developments, the Board of the CBA finds it appropriate to maintain expansionary monetary conditions and leave the refinancing rate unchanged. At the same time, in view of the anticipated macroeconomic developments, keeping the monetary environment expansionary is important for fulfillment of the inflation target, on condition that it gradually eliminates in the future. As a result, the expectation is that inflation will run somehow lower from the target, stabilizing around the 4% value in the forecast horizon.

Should there be risks to economic growth outlook and to the inflation deviating from its forecasted path, the CBA will adjust the monetary policy directions accordingly, while ensuring the price stability.

Detailed information that underlies the decision on setting of the interest rate will be available in Press Release (Minutes on Interest Rate) to be published by October 9, 2018.

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Press Service of the Central Bank of Armenia